position of the managing director of the IMF would be ended; instead of the traditional process so obscure that it made a papal election process seem transparent by comparison, these two pivotal positions would, in future, be filled through a merit-based international selection process. The second concession, enshrined as the ‘2010 quota and governance reform’, was that the quotas in the IMF would be adjusted to shift the voting power in favour of dynamic EMDCs. In particular, the new formula would push the BRIC countries to be among the top ten IMF shareholders, while at the same time protecting the voting shares of the poorest 110 member countries.

The first reform of opening up the selection of the chief executives of the two institutions to global competition is yet to be tested. The second, the 2010 quota and governance reform, was held up for over five years almost entirely because the US Congress took that long to approve it. The problem was that as per the IMF regulations, quota reforms require an 85 per cent majority of the total voting strength. Even though most countries had approved the reform, that was not sufficient for passing it, as the US had a voting share of 16 per cent and therefore a virtual veto. The issue of US approval for the quota reform came up unfailingly at every IMFC meeting. And all that US treasury secretary would offer each and every time was that it was yet to be approved by the Congress. Evidently, an issue that was a clear priority for EMDCs remained low priority for the US Congress for over five years. It was only in December 2015, as I write this, that the US Congress is reported to have at last approved the IMF quota reform.

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As I wrote earlier, one big criticism of policymakers post-crisis was that they remained indifferent to the incipient signals of financial instability in the markets in the lead-up to the Lehman collapse. To remedy this, the IMF introduced another regular meeting into the Fund–Bank meeting schedule —‘the early warning exercise’—which is a briefing to select finance ministers and central bank governors by the IMF and the BIS on potential threats to economic and financial stability. The discussion in this ‘early